

nimised. They should also consider whether there is any need to revise the tax returns of earlier years. The facility of filing an updated tax return as proposed by the Finance Bill, 2022, can be explored to optimise tax costs.

The second interesting development is a CBDT circular dealing with the MFN clause in tax treaties. The MFN clause is inserted in many tax

Co-operation and Development (OECD) that provide for such an MFN clause. The issue became relevant in the context of the India-Netherlands tax treaty where the withholding tax rate for dividend was provided at 10 per cent. India entered into treaties with Slovenia, Lithuania, etc., where the withholding tax on dividend was 5 per cent. Those countries subse-

admitted as OECD members at a later date was not relevant. The lower rates prescribed therein would apply to other treaties where the MFN clause existed and there was no need for the CBDT to issue an express notification in this regard as the MFN provisions are self-operational. The court disregarded the contrary stand taken by the revenue authorities.

The CBDT recently issued a circular that says the benefit of a lower rate under the MFN clause would apply only if the other third country is a member of the OECD at the time of signing the treaty and India issues a separate notification accepting the beneficial provisions. Whilst the CBDT's stand is not out of place, it applies only where tax treaties provide for a similar language. For example, the India-Belgium or Australia-Italy tax treaties specifically state that the MFN clause will apply only if the third country is a member of OECD at the time of signing of the treaty. Also, the India-Switzerland tax treaty categorically states that the countries would negotiate and issue a notification if the MFN clause gets triggered.

The blanket approach taken by the CBDT to import these conditions in every tax treaty despite there being no enabling provision or language is quite strange, unwarranted, and inconsistent with the interpretation given by the courts. Tax treaties are vehicles for promoting cross-border investments and trade, and such a restrictive approach, as has been taken by the CBDT, is not warranted. Sure enough, barely had the ink dried on the circular that the matter came up before the tax tribunal where the revenue authorities tabled the circular and the tribunal held that it was not binding on judicial authorities and in any case, it could not have a retrospective effect. The CBDT should seriously rethink its stand as it will be followed by the tax authorities, resulting in avoidable litigation. **BT**

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treaties to provide that if one of the treaty partners enters into a more beneficial treaty at a later point of time, the provisions of the beneficial treaty would apply to the current treaty. India has entered into tax treaties with several countries which are part of the Organisation for Economic

co-operation and Development (OECD) and a question arose whether the lower tax rate prescribed in those treaties would apply to India's treaty with the Netherlands on the basis of the MFN clause. The matter was argued before the courts and it was held that the fact that these other countries were